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III Short answer questions

1. What are final accounts? What are its constituents?
2. What is meant by closing entries? Why are they passed?
3. What is meant by gross profit and net profit?
4. "Balance sheet is not an account"- Explain.
5. What are the advantages of preparing a balance sheet?
6. What is meant by grouping and marshalling of assets and liabilities?

IV Exercises

1. Prepare trading account in the books of Sivashankar from the following figures

Particulars	`	Particulars	`
Opening stock	1,500	Purchases	3,500
Sales	4,600	Closing stock	1,300

(**Answer**: Gross profit: ` 900)

2. Prepare trading account in the books of Mr.Sanjay for the year ended 31st December 2017:

Particulars	`	Particulars	`
Opening stock	570	Purchases	15,800
Sales	26,200	Purchases returns	90
Sales returns	60	Closing stock	860

(**Answer**: Gross profit: ` 10,720)

3. From the following balances taken from the books of Saravanan, calculate gross profit for the year ended December 31, 2017

Particulars	`	Particulars	`
Opening stock	1,50,000	Net sales during the year	4,00,000
Direct expenses	8,000	Net purchases during the year	1,50,000
Closing Stock	25,000		

(**Answer**: Gross profit: ` 1,17,000)

4. From the following details for the year ended 31st March, 2018, prepare trading account.

Particulars	`	Particulars	`
Opening stock	2,500	Returns inwards	7,000
Purchases	27,000	Coal and gas	3,300
Sales	40,000	Carriage inwards	2,600
Wages	2,500	Closing stock	5,200
Returns outwards	5,200		

(**Answer**: Gross profit: ` 5,500)